



Handout 2.14: Company Cards

Name: _____ Date: _____ Partner: _____

Directions. Cut the eight cards apart (or your teacher has). Read every card. Put them in a line on your desk from the safest to the riskiest. Write your risk word on each card and on the cover of your Investor Journal: none, low, medium, high, or very high. Be ready to explain your order with a line from a card. Some of these companies do not exist yet in 1870; they join the board in a later round, and the card says which. Nobody learns what happened to any of them until Day 9.



Card 1: BANK. The savings bank.

Your money sits in a vault and earns 3 percent a round. It never goes down. In this game it never fails. (In real life, before 1933, it could.)

On the board from: Round 0 (1870)

My risk word: _____



Card 2: RAIL. Pennsylvania Railroad.

Thousands of miles of track, the biggest employer in the country, steady freight and passengers. Railroads borrow enormous sums to build, and when they build too much the debt sinks them.

On the board from: Round 0 (1870)

My risk word: _____



Card 3: OIL. Standard Oil.

Refines kerosene for lamps and, later, gasoline for cars. Run by the toughest businessman in America, who buys or breaks every rival. Governments do not like monopolies.

On the board from: Round 0 (1870)

My risk word: _____



Card 4: GAS. Manhattan Gas Light, later Consolidated Gas.

Lights the streets and homes of New York. Everyone pays the gas bill every month.
Electricity is coming.

On the board from: Round 0 (1870)

My risk word: _____



Card 5: ELEC. Edison Electric Light, later General Electric.

The light bulb, the power station, the electric motor. New, expensive to build, and the whole country wants it.

On the board from: Round 2 (1882)

My risk word: _____



Card 6: STEEL. United States Steel.

Rails, bridges, skyscrapers, ships. The first billion dollar company. Steel sells when the country builds and stops selling when it stops.

On the board from: Round 4 (1901)

My risk word: _____



Card 7: AUTO. General Motors.

Cars for everyone, on credit. When times are good, everyone buys a car. When times are bad, nobody does.

On the board from: Round 5 (1911)

My risk word: _____



Card 8: RADIO. Radio Corporation of America.

The newest thing in the world: music and news in every living room. Never paid a dividend (a share of the profit paid to owners). Its price is a bet on the future.

On the board from: Round 5 (1911)

My risk word: _____